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Illustrative — For Discussion

GPU-Backed Credit

Illustrative Applications of CRI Rates in Credit Structures

March 2026

Profile	Profile B — Mid-Market, Mixed-Book Operator · Primary credit support: GPU collateral
Hypothetical Borrower	Hypothetical GPU Operator LLC — $30M Senior Secured
Collateral	1,500 × NVIDIA H100 SXM5 GPUs
Term	36 months · Monthly borrowing base certificate; quarterly financial covenants
Reference Rate	CRI-H100 · ccir.io
Applications	Four covenants (§7.01–§7.04) · Market Capture, Collateral Coverage, Workload Composition, Generation Spread
Status	Illustrative. All parameters set by counsel and lenders.

CCIR does not participate in or structure credit transactions referencing CRI rates, and does not provide advice regarding any such transaction. This document illustrates how CRI-H100 and related CCIR reference rates may be referenced in GPU-backed credit structures. All borrower details, rates, trigger levels, and covenant structures are hypothetical, illustrative, and entirely non-prescriptive. All parameters, thresholds, multiples, advance rates, and formula inputs shown are examples only — they are credit judgments determined by counsel and lenders, not by CCIR. CCIR does not recommend, endorse, or prescribe any particular covenant structure, trigger level, threshold, or enforcement mechanism. CCIR is a reference rate provider. This is not legal advice.

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1. Why GPU Credit Agreements Need a Named Reference Rate

Two structural gaps leave lenders in GPU-backed credit exposed across 24–36 month facility terms. Both point to the same need: an independent, named market rate that neither party controls.

Gap 1 — A Rate Defined by Either Party Creates Documentation Risk

When a covenant references rental rates, it typically relies on internal analyst estimates — numbers no counterparty can independently verify, and that every deal prices differently. A rate defined by the lender favors the lender. A rate defined by the borrower favors the borrower. Syndicated facilities need a rate all lenders can independently verify. Post-LIBOR, compliance functions have developed institutional resistance to reference rates that lack independent governance and published methodology.

The structural demand is familiar: SOFR replaced LIBOR for the same reason AVITAS aircraft appraisals became contractually required in EETCs. The independent named reference rate is what makes the covenant workable when a breach is in dispute. CRI-H100 is structured to meet that standard for GPU compute.

Gap 2 — Book Depreciation Does Not Track the Rental Market

GPU rental rates have declined materially since 2024. Revenue covenants and borrowing base formulas that reference the live on-demand market need an independent, named rate to anchor those calculations — one both parties can verify independently.

A monthly borrowing base certificate that marks the GPU fleet to the current on-demand market gives the lender a collateral calculation that reflects current market conditions — not where a depreciation schedule assumed the hardware would be.

> **The distinction that matters.** CCIR is a reference rate provider. CRI-H100 is the independently published market rate that credit agreements cite by name. Thresholds, multiples, advance rates, and structural terms are credit judgments set by counsel and lenders at underwriting. This document illustrates how CRI rates may appear in those formulas — it does not prescribe what the parameters should be.

2. Four-Covenant Framework — Profile B

The following table summarizes four ways CRI-H100 may be cited in GPU-backed credit documentation. All parameters shown in the worked examples that follow are illustrative only.

Ref.	Application	How CRI-H100 Is Used	Parameters Set By Counsel / Lenders
A · §7.01	Market Capture Test	Independent market reference against which borrower's actual per-GPU revenue is measured — detecting underpricing, underutilization, or customer mix deterioration	Minimum capture ratio (85% floor is illustrative), calculation period, fallback provisions
B · §7.02	Collateral Coverage / LTV	Marks pledged GPU fleet to CRI-H100 monthly using cap rate formula — not book depreciation or contracted revenue	Capitalization Rate, Utilization Assumption, LTV cap, Advance Rate, deficiency cure period
C · §7.03	Workload Composition	Borrower certifies training vs. inference workload mix each Calculation Date — triggers Blended Utilization Rate in §7.02 if training falls below threshold	Training Workload Percentage threshold (50% is illustrative), notice requirements, Blended Utilization Rate inputs

Ref.	Application	How CRI-H100 Is Used	Parameters Set By Counsel / Lenders
D · §7.04	Generation Spread	(CRI-B200 − CRI-H100) ÷ CRI-H100 — observable proxy for H100 training-tier obsolescence; triggers cap rate step-up in §7.02 on Generation Convergence Event	Generation Spread Threshold (25% is illustrative), cap rate step-up level, cure period, fallback if CRI-B200 unavailable

Key asymmetry lenders should monitor. For a mixed-book operator, a declining CRI-H100 rate tightens §7.01 Market Capture (the borrower must keep pace with a falling market floor) and §7.02 Collateral Coverage simultaneously — there is no locked-contract cushion. §7.03 Workload Composition surfaces whether the compression is driven by migration to lower-value inference. §7.04 Generation Spread signals the forward obsolescence trajectory. All four covenants must be monitored together.

3. Illustrative Scenario Analysis

The following scenarios illustrate how each application responds to CRI-H100 movements. The assumed starting position: borrowing base comfortably covered at closing parameters. All threshold levels are illustrative — the behavioral logic is what matters, not the specific numbers.

Scenario	A — §7.01 Market Capture	B — §7.02 Collateral Coverage	C — §7.03 Workload Composition	D — §7.04 Gen Spread
Baseline	**PASS** 91% capture — well above 85% floor	**PASS** LTV 42.4% — well below 80% cap	**PASS** 70% training — above 50% threshold	**PASS** 145% spread — above 25% threshold
Market underperformance Borrower below market, CRI flat	**BREACH** 81.8% capture — below 85% floor; operational issue, not rate compression	**PASS** LTV unchanged — CRI flat	**PASS** Workload mix unchanged	**PASS** Spread unchanged
Rate compression No locked contracts	**WATCH** Capture ratio holding; market falling with borrower	**WATCH** BB $35.9M; $5.9M cushion above $30M outstanding	**PASS** Workload mix unchanged	**PASS** Spread intact
Workload migration 42% training, 2nd period	**PASS** Efficiently capturing market	**TIGHTENS** Blended util adjusts CV in §7.02	**BREACH** Below 50% for 2 periods — Blended Utilization Rate now applies	**PASS** Spread intact
Combined stress Rate + workload + spread	**PASS** Efficient in weak market	**BREACH** LTV 82% — cap 35%, adv 60%	**BREACH** 35% training	**EVENT** Cap 28%→35%; tightens §7.02 further

Key observations:

For a mixed-book operator there is no locked-contract cushion — §7.01 and §7.02 tighten simultaneously when CRI-H100 falls.

For a mixed-book operator, a falling CRI-H100 rate tightens both §7.01 Market Capture (borrower must keep pace with a falling market) and §7.02 Collateral Coverage simultaneously — there is no locked-contract cushion. §7.03

Workload Composition surfaces whether the compression is driven by migration to lower-value inference. Lenders should monitor all three covenants together.

§7.03 Workload Composition is the early warning system, not a financial trigger.

The Workload Composition covenant surfaces revenue mix migration before it propagates into a §7.02 deficiency. A borrower can report identical headline utilization (80%) while earning materially less per GPU-hour as training workloads shift to inference. §7.03 detects that shift on the first Calculation Date it occurs — not after it shows up in a coverage breach.

§7.04 Generation Spread is a forward technology risk signal, not a financial trigger.

Spread compression — B200 rates falling toward H100 levels — is an observable proxy for H100 training-tier erosion. When sustained compression triggers a Generation Convergence Event, the Capitalization Rate in §7.02 steps up from 28% to 35%, tightening collateral value without an amendment. The threshold that warrants notice and the cap rate step-up level are credit judgments set at underwriting.

4. §7.01 — Market Capture Test

For a mixed-book operator whose revenue tracks the on-demand market, the relevant question is not whether contracted revenue exceeds a market multiple — it is whether the borrower is efficiently capturing what the market currently offers. The Market Capture Test measures whether the borrower's actual revenue per GPU achieves a minimum percentage of CRI-H100, detecting underpricing, underutilization, or customer mix deterioration as it happens.

4.1 Illustrative Covenant Language

> *SECTION 7.01 — MARKET CAPTURE TEST — Financial Covenant*
>
> *Borrower shall not permit the Market Capture Ratio, as of any Calculation Date, to be less than 0.85 to 1.00. [85% is illustrative — threshold is a credit judgment set at underwriting.]*
>
> *"Market Capture Ratio" means, as of any Calculation Date, the ratio of (a) GPU Rental Revenue Per Pledged GPU for the most recently completed Calculation Period to (b) the CRI-H100 Reference Rate.*
>
> *If CRI-H100 is not published on a Calculation Date, the most recently published rate within the prior 5 Business Days shall be used. If no publication is available within such period, the fallback provisions set forth in the credit agreement shall apply.*

4.2 How the Rate Is Used

CRI-H100 serves as the denominator in the Market Capture Ratio — the independent market reference against which the borrower's actual per-GPU revenue is measured. The 85% minimum capture ratio accommodates scheduling gaps and short-term below-market contracts while detecting systematic underpricing or utilization deterioration. The threshold is a credit judgment set at underwriting. CCIR's published rate history supports backtesting the threshold against observed market conditions. Because there is no rate cap on the denominator, the covenant tracks the market in both directions — a rising CRI-H100 that the borrower fails to capture is as meaningful a signal as a falling one.

> **On the Market Capture threshold.** An 85% floor accommodates realistic operational gaps while detecting systematic underperformance. A borrower consistently below 85% of CRI-H100 is either underpricing relative to market, experiencing material utilization deterioration, or losing customers to competitors. CCIR's published rate history supports backtesting the threshold against observed market conditions — CCIR does not recommend specific levels.

> **On the relationship between §7.01 and §7.02.** The Market Capture Test (§7.01) and Collateral Coverage covenant (§7.02) are distinct and complementary signals. §7.01 detects operational underperformance relative to

market — is the borrower capturing available rates? §7.02 detects collateral value deterioration as CRI-H100 itself falls. A borrower can pass §7.01 while §7.02 tightens (efficiently capturing a depressed market) or fail §7.01 while §7.02 appears healthy (underperforming a stable market). Both signals are necessary; neither substitutes for the other.

5. §7.02 — Collateral Coverage / LTV

The Collateral Coverage covenant marks the pledged GPU fleet to the current on-demand market each Calculation Date using CRI-H100 — not book depreciation, not contracted revenue. For a mixed-book operator with no locked customer contracts, this is the primary financial covenant: if CRI-H100 falls, GPU Collateral Value falls with it, and the borrowing base tightens in real time.

The cap rate formula (GPU Unit Count × CRI-H100 × 8,760 hrs × Utilization Assumption ÷ Capitalization Rate) means a 25% decline in CRI-H100 produces a proportional decline in collateral value before any advance rate cushion is applied. The §7.04 Generation Convergence Event steps the cap rate from 28% to 35%, compounding that tightening when H100 training-tier obsolescence is confirmed by spread data.

5.1 Illustrative Covenant Language

SECTION 7.02 — COLLATERAL COVERAGE RATIO — Financial Covenant

"GPU Collateral Value" means, as of any Calculation Date: (Pledged GPUs) × (CRI-H100 Reference Rate) × 8,760 Annual GPU Hours × Utilization Assumption ÷ GPU Capitalization Rate. Borrower shall not permit LTV (Outstanding Principal ÷ GPU Collateral Value) to exceed 80% as of any Calculation Date. [LTV cap is a credit judgment set at underwriting.]

"Utilization Assumption" means seventy-two percent (72%) for GPU hours deployed in training workloads; sixty-five percent (65%) for GPU hours deployed in inference workloads. Where the Workload Composition Covenant under §7.03 is in effect, a Blended Utilization Rate shall apply, weighted by the Training Workload Percentage certified in the most recent Calculation Date Certificate. [72%/65% are illustrative — the Utilization Assumption is a credit judgment set at underwriting.]

"GPU Capitalization Rate" means twenty-eight percent (28%) per annum (the "Base Capitalization Rate"). If a Generation Convergence Event has occurred under §7.04 and remains in effect, the Capitalization Rate shall increase to thirty-five percent (35%) for all subsequent Calculation Dates until the Generation Spread returns to or above the Generation Spread Threshold for two consecutive Calculation Dates. [28%/35% are illustrative — the Capitalization Rate is a credit judgment set at underwriting.]

If CRI-H100 is not published on a Calculation Date, the most recently published rate within the prior 5 Business Days shall be used. If no publication is available within such period, the fallback provisions set forth in the credit agreement shall apply.

5.2 How the Rate Is Used

CRI-H100 is the single variable input in the GPU Collateral Value formula that changes each Calculation Date. All other parameters — GPU Unit Count, Utilization Assumption, Annual GPU Hours, Capitalization Rate, Advance Rate — are set at closing and fixed in the credit agreement unless a Generation Convergence Event triggers the cap rate step-up. Both parties can independently verify the Collateral Value and Borrowing Base from the CCIR data repository without discretionary inputs from either side.

The Capitalization Rate and Advance Rate are the primary negotiating variables at underwriting. A lower cap rate produces higher Collateral Value and more favorable LTV; a tighter advance rate reduces available credit against a given Collateral Value. CCIR's published rate history supports cap rate calibration against observed market data — CCIR does not recommend specific levels.

> **On setting the Capitalization Rate.** The Capitalization Rate is a credit judgment. As the GPU rental market matures and transaction comparables accumulate, market consensus cap rates will emerge. CCIR's published rate history supports cap rate calibration analysis — CCIR does not recommend specific levels.

6. §7.03 — Workload Composition

The Workload Composition covenant requires the borrower to certify its training vs. inference workload mix on each Calculation Date. For a mixed-book operator, workload composition is the primary driver of per-GPU revenue that does not appear in the CRI-H100 rate itself — two borrowers with identical H100 fleets and identical utilization rates may earn materially different revenue per GPU-hour depending on their workload mix.

When the Training Workload Percentage falls below the threshold for two consecutive periods, the Blended Utilization Rate applies in §7.02: a weighted average of 72% (training) and 65% (inference). This tightens the GPU Collateral Value calculation to reflect the lower revenue profile of inference workloads — without requiring an amendment or a lender exercise of discretion.

6.1 Illustrative Covenant Language

> *SECTION 7.03 — WORKLOAD COMPOSITION — Surveillance Covenant*
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> *Borrower shall certify the Training Workload Percentage to the Administrative Agent on each Calculation Date as part of the Calculation Date Certificate. "Training Workload Percentage" means the percentage of total GPU-hours on Eligible GPU Collateral deployed in training workloads during the most recently completed Calculation Period.*
>
> *If the Training Workload Percentage falls below fifty percent (50%) for any single Calculation Period (a "Workload Migration Event"), Borrower shall deliver written notice to the Administrative Agent within 10 Business Days including: (i) description of replacement workloads; (ii) contracted rate and term; and (iii) revised revenue forecast for the next two Calculation Periods. [50% is illustrative — threshold is a credit judgment set at underwriting.]*
>
> *If the Training Workload Percentage falls below fifty percent (50%) for two consecutive Calculation Periods, the Blended Utilization Rate shall apply in the §7.02 GPU Collateral Value calculation: Blended Utilization Rate = (Training Workload % × 72%) + ((1 − Training Workload %) × 65%). [The training/inference utilization split is a credit judgment set at underwriting.]*
>
> *A Workload Migration Event is a surveillance mechanism only. It is not itself an Event of Default. Any Event of Default arising from a Coverage Test breach or Borrowing Base Deficiency following a Workload Migration Event shall be governed by Section 8.01.*
>
> *If CRI-H100 is not published on a Calculation Date, the most recently published rate within the prior 5 Business Days shall be used. If no publication is available within such period, the fallback provisions set forth in the credit agreement shall apply.*

6.2 How the Covenant Works

The Training Workload Percentage is certified by the borrower each Calculation Date and is verifiable against the borrower's infrastructure monitoring and customer MSA records. The Blended Utilization Rate calculation uses only the certified percentage and the fixed training/inference utilization rates agreed at closing — neither party has discretion over the output once those inputs are in place.

The training/inference utilization split (72%/65% illustrative) and the Training Workload Percentage threshold (50% illustrative) are the primary negotiating variables at underwriting. A borrower with a pure training operation at origination may warrant a higher threshold (65–70%); a mixed-book borrower may negotiate a lower level. All inputs are credit judgments set by counsel and lenders — CCIR publishes only the CRI-H100 and CRI-B200 rates that feed into the §7.02 formula.

> **On the relationship between §7.03 and §7.02.** The Workload Composition covenant adjusts the Collateral Value calculation in §7.02 to reflect the changed revenue profile. It does not penalize workload migration per se — a borrower who migrates to inference but maintains adequate utilization may still satisfy §7.02 under the Blended Utilization Rate. The 50% training threshold is a starting point for negotiation; a borrower with a pure training operation at origination may warrant a higher threshold (65–70%).

7. Why a Named Reference Rate

All four applications above reference CRI-H100 as the on-demand market rate for compute capacity. The structural reasons are the same across all four:

Neutrality. A rate defined by the lender favors the lender. A rate defined by the borrower favors the borrower. A named independent reference rate removes that asymmetry — the same structural demand that produced SOFR after LIBOR and AVITAS appraisals in aircraft EETCs.

Independent verifiability. Syndicated facilities require a rate all lenders can independently verify. A proprietary methodology held by one party cannot serve as the reference for a multi-lender facility. Any dispute about the rate — in a workout, at a transfer, or on a calculation date when lenders disagree — requires a source both sides can check independently.

Post-LIBOR governance standard. Bank compliance functions have developed institutional resistance to benchmark risk. A rate published by a party with a financial interest in the GPU market it measures creates documentation risk that is increasingly difficult to clear internal approvals. CRI-H100 is published by Compute Credit Index Research LLC, which holds no position in the GPU compute market it measures. The methodology is published and the rate is reproducible by any party with access to the underlying sources. Under UCC §9-627, a commercially reasonable collateral disposition requires a rate that meets the “price current in any recognized market” standard; a named independent rate cited in the credit agreement provides that reference.

8. §7.04 — Generation Spread

The Generation Spread covenant monitors the premium that next-generation B200-grade compute commands over H100-grade compute in the noninterruptible on-demand market. For a mixed-book H100 operator, spread compression is the forward signal that the training-tier premium justifying H100 collateral valuations is eroding — before that erosion propagates into a CRI-H100 rate decline or a §7.02 deficiency.

When the Generation Spread falls below the 25% threshold for two consecutive Calculation Dates, a Generation Convergence Event triggers a Capitalization Rate step-up in §7.02 from 28% to 35% — tightening GPU Collateral Value without requiring an amendment or lender discretion. The spread threshold and cap rate step-up level are credit judgments set at underwriting; CCIR publishes both rates daily.

8.1 Illustrative Covenant Language

SECTION 7.04 — GENERATION SPREAD — Surveillance Covenant

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"Generation Spread" means (CRI-B200 Reference Rate minus CRI-H100 Reference Rate)
divided by CRI-H100 Reference Rate, expressed as a percentage. CCIR publishes both
rates daily at computecreditindex.com.

A "Generation Convergence Event" shall occur if the Generation Spread falls below
twenty-five percent (25%) — the "Generation Spread Threshold" — for two (2)
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consecutive Calculation Dates. [25% is illustrative — threshold is a credit judgment
set at underwriting.]

Upon occurrence of a Generation Convergence Event, the GPU Capitalization Rate in
§7.02 shall increase from 28% to 35% for all subsequent Calculation Dates until the
Generation Spread returns to or above the Generation Spread Threshold for two
consecutive Calculation Dates.

If CRI-B200 is not published on a Calculation Date, the most recently published rate
within the prior 5 Business Days shall be used. If no publication is available within
such period, the fallback provisions in the credit agreement shall apply.
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8.2 How the Covenant Works

The Generation Spread is calculated from two independently published CCIR rates: CRI-B200 and CRI-H100, both available daily at computecreditindex.com. Neither party controls the spread; any counterparty can reproduce the calculation from the public data repository at any Calculation Date. The Generation Convergence Event fires automatically when the spread falls below threshold for two consecutive dates — no lender determination required.

The Generation Spread Threshold (25% illustrative) and the cap rate step-up level (28% to 35% illustrative) are credit judgments set at underwriting. For a mixed-book operator, the Generation Convergence Event compounds with any concurrent §7.01 Market Capture shortfall and §7.03 workload migration — the Combined Stress scenario in Section 3 illustrates how all three signals can fire simultaneously.

9. Borrowing Base Certificate

CCIR also publishes CRI-B200 daily. The Generation Spread — (CRI-B200 minus CRI-H100) divided by CRI-H100 — is an observable proxy for H100 collateral obsolescence risk. A wide spread reflects B200 access rates above H100 in the on-demand market. Spread compression — B200 rates falling toward H100 levels — reduces the incentive to choose H100 over next-generation hardware.

A surveillance covenant may cite the Generation Spread as a trigger for borrower notice and market assessment, without making the spread itself a financial trigger. The spread threshold that warrants notice, and whether any subsequent adjustment to borrowing base parameters is warranted, are credit judgments determined by counsel and lenders. CCIR publishes both rates daily; how the spread is used in credit documentation is determined by the parties to the agreement.

> **Note on spread interpretation.** For Profile B parameters (1,500 GPUs, $30M outstanding), the −35% Rate Cap Scenario produces a $1.1M borrowing base cushion — a near-breach that illustrates the covenant doing real work at a rate compression level already observed in the H100 market. The Profile B Borrowing Base Certificate is available for download at computecreditindex.com.

10. CCIR Rate Reference Support

Structured finance counsel and credit analysts working on Profile B mixed-book GPU-backed facilities with questions about CRI rate methodology, index definitions, fallback provisions, or how CRI indices may be cited in credit agreements may contact CCIR at research@ccir.io. For Profile A contracted-revenue structures, see the CCIR Profile A Covenant Framework. CCIR will respond to written inquiries within 10 business days.

CCIR does not provide legal advice, does not review or approve credit agreement language, does not recommend covenant thresholds or structural terms, and does not advise on the regulatory treatment of CRI rate references in any jurisdiction. All parameters, thresholds, and formula inputs in credit agreements referencing CRI rates are determined solely by counsel and lenders.

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